

Organisation

Advanced Microeconomics 1: Economic Decision Making. Lecture 0

Luke Heath Milsom

Hi

- Hi :)
- Me: Luke, email: luke.heathmilsom@kuleuven.be
- The course: Advanced Microeconomics 1, part 1: Economic Decision Making

The plan

- 6 weeks; we meet twice for 2 hours each time a week
- 8×2 hour lectures
- $3 \times$ exercise classes
- $1 \times$ “practical” class

https://lmilsom.github.io/advmico1_decisions/micro1_site/

Course policies

- Before lectures, you must complete the bolded readings.
- Before exercise classes, you must complete the problem sets.
- Lectures will be recorded and uploaded the day after. Classes will not be recorded.
- Office hours are by appointment; email me :).
- Assessment is 100% closed-book exam joint with the other half of the course.

The (grandiose) objectives

1. Better understand how the world works.
2. Design better policy to improve the most lives.

The (more specific) objectives: Questions to be answered

Consumer behavior

- Are consumers rational?
- Who are the winners and losers from tax policy?

Firm behavior

- What are firms maximising?
- What are the gains from making production efficient?

Behavior under risk

- Does expected utility theory describe choice under risk?
- How should insurance be designed?